

Negotiable Instruments Act, 1977

Document type: act

Source: Nepal Law Commission / Ministry of Law, Justice and Parliamentary Affairs

Chunks merged: 30

Negotiable Instruments Act, 2034 (1977)

Royal Seal and Date of Publication

2034.09.18

Amending Acts

1. Some Nepal Acts Amendment Act relating to Finance, 2039 2039.07.03
2. Republic Strengthening and Some Nepal Laws Amendment Act, 2066 2066.10.07
3. Some Nepal Acts Amendment Act to Make Compatible with the Constitution of Nepal, 2075 2075.11.19
4. Banking Offence and Punishment (Second Amendment) Act, 2082 2082.01.24

Act No. 26 of the year 2034

An Act Made to Provide for Negotiable Instruments

Preamble: Whereas it is expedient to define negotiable instruments and to make other arrangements relating thereto for the purpose of systematizing banking transactions;

Now, therefore, His Majesty King Birendra Bir Bikram Shah Deva has enacted this Act on the advice and with the consent of the National Panchayat. Chapter-1

Preliminary

1. Short title, extent and commencement: (1) This Act may be called the "Negotiable Instruments Act, 2034."
(2) It extends to the whole of Nepal omitted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066.
(3) This Act shall come into force on such date as the Government of Nepal may, by notification in the Nepal Gazette, appoint. This Act came into force from 2039 Ashadh 14. (Nepal Gazette dated 2039.3.14)
2. Definitions: In this Act, unless the subject or context otherwise requires,-
 - (a) "Bank" means a bank established under the prevailing law.
 - (b) "Banker" means an institution carrying on banking business and includes a post office performing the work of a savings bank.
 - (c) "Security" means property or a document relating thereto which has been or is to be kept as collateral pursuant to the prevailing law at the time of taking or giving credit.
 - (d) "Negotiation" means the transfer of a negotiable instrument in such manner as to constitute the transferee the holder thereof.
 - (e) "Negotiable instrument" means a promissory note and a bill of exchange.

(f) "Promissory note" means an instrument in writing (not being a government or bank note) containing an unconditional undertaking signed by the maker, to pay a certain sum of money on a fixed date or on demand, to a certain person, or to the order of that person, or to the bearer thereof.

Provided that the said term shall not include a document made under amended by the Some Nepal Acts Amendment Act to Make Compatible with the Constitution of Nepal, 2075. "Chapter-15 of Part 4 of the Muluki Civil (Code) Act, 2074".

(g) "Bill of exchange" means an instrument in writing containing an unconditional order signed by the maker, directing a certain person to pay a certain sum of money on a specified date, or after a certain period, or on demand, to a certain person, or to the order of that person, or to the bearer thereof.

(h) "Cheque" means a bill of exchange drawn on a specified banker and payable on demand.

(i) "Draft" means a bill of exchange drawn by one bank upon another office of the same bank, payable on demand to a certain person or to the order of that person.

(j) "Payee" means the person named in the negotiable instrument to whom or to whose order the payment is to be made.

(k) "Holder" means any person entitled in his own name to the possession thereof and to receive payment of the amount due thereon from the parties thereto.

(l) "Drawer" means the person who makes or draws a bill of exchange.

(m) "Drawee" means the person directed to pay the amount of the bill of exchange.

(n) "Drawee in case of need" means a person specified in the bill of exchange or endorsed thereon as a person to be resorted to in case the drawee dishonours the bill by non-acceptance or non-payment.

(o) "Holder in due course" means any person who for valuable consideration becomes the possessor of a negotiable instrument payable to bearer before the amount mentioned in it becomes payable, or in the case of an instrument payable to order, the payee or the endorsee thereof, without having sufficient cause to believe that the defect referred to existed in the title of the person from whom he derived his title.

(p) "Payment in due course" means payment made to the person entitled to receive the amount specified in the negotiable instrument, without negligence and in good faith.

(q) "Endorsement" means the signing of a negotiable instrument on the front or back thereof, or on a separate document attached thereto, for the purpose of negotiation.

(r) "Endorsement in blank" means an endorsement where the endorser merely signs his name.

(s) "Endorsement in full" or "special endorsement" means an endorsement which specifies the person to whom or to whose order payment is to be made.

(t) "Bill payable on demand" means a bill of exchange payable at sight or on presentation.

(u) "Date of payment" means the date specified in the bill of exchange as the date on which payment is to be made.

(v) "Public holiday" means a day declared by the Government of Nepal to be a public holiday, and includes a day on which banking business is not transacted.

(w) "Notary Public" means a person appointed or specified under Section 106.

(x) "Prescribed" or "as prescribed" means prescribed by this Act or by rules made under this Act.

Chapter-2

Negotiable Instruments, Parties Thereto and Their Rights and Liabilities

3. Ambiguous instrument: Where a bill of exchange or a promissory note is ambiguous as to whether it is a bill of exchange or a promissory note, the holder may treat it as either at his option. 4. Right of holder: The holder may transfer a negotiable instrument. 5. Instrument without date of payment: A negotiable instrument without a date of payment shall be payable on demand. 6. Difference between figures and words: If there is a difference between the amount stated in figures and that stated in words in a negotiable instrument, the amount stated in words shall be accepted. 7. Additional days of grace: Every negotiable instrument not expressed to be payable on demand, at sight, or on presentation, shall be payable on the fourth day after the date of payment. 8. Payment after a fixed period: A negotiable instrument payable after a fixed period, or after a fixed period from presentation, or after the occurrence of a certain event, or after a fixed period from the occurrence of such event, shall be payable as specified in the instrument. 9. Calculation of date of maturity: In calculating the date of maturity of a negotiable instrument payable after a period, the day on which the instrument is dated or presented for acceptance shall be excluded. 10. When date of payment falls on a public holiday: If the date of payment of a negotiable instrument falls on a public holiday, the payment shall be deemed to be due on the next following day. 11. Capacity of parties: Every person capable of contracting under the prevailing law may bind himself and be bound by the making, drawing, accepting, endorsing, transferring, and negotiating of negotiable instruments. Provided that, if such an act is done by a minor, all other parties except the minor shall be liable. 12. Agent: The principal who confers authority on an agent to perform an act shall be liable for the act done by the agent. 13. Liability of agent: If an agent signs a bill of exchange without indicating that he signs as an agent, or without indicating that he is not personally liable, the agent shall also be personally liable for such bill of exchange. 14. Liability of legal representative: If a person signs a bill of exchange as the legal representative of a deceased person without specifying that he is liable only to the extent of the property received by him, he shall be fully personally liable for such negotiable instrument. 15.

Liability of drawer: If a bill of exchange is dishonoured by the acceptor or the drawee, the drawer shall be bound to compensate the holder, provided that due notice of dishonour is given to the drawer. 16. Liability of bank paying cheque: A bank shall pay a cheque presented to it if it is in due course and if the drawer has sufficient deposits. If the drawer or the holder in due course suffers any loss or damage due to non-payment of such cheque, the bank shall also pay compensation therefor under this Act. 17. Liability of maker of promissory note or acceptor of bill of exchange: The maker of a promissory note or the acceptor of a bill of exchange shall pay the negotiable instrument when it falls due and is duly presented for payment. If any loss or damage is caused to the party entitled to payment due to non-payment of such negotiable instrument, the maker of the promissory note or the acceptor of the bill of exchange shall also pay compensation therefor under this Act. 18. Persons capable of accepting a bill of exchange: (1) Only the drawee or the drawee in case of need can accept a bill of exchange, thereby binding himself to pay. (2) If a bill of exchange has more than one drawee, any one drawee may accept it for himself only. Provided that, if such drawees are partners or are authorized, one may accept the bill of exchange for the other. 19. Liability of endorser: Every endorser who endorses and transfers a negotiable instrument without specifying that his liability is limited or that he has no liability, shall be liable to each subsequent holder, unless otherwise agreed. 20. Liability of prior parties to holder in due course: Until payment in due course of a negotiable instrument, every prior party shall

be liable to the holder in due course. 21. Liability as principal debtor: Unless otherwise agreed, before acceptance of a negotiable instrument, the liability of the maker or drawer thereof is that of a principal debtor, and after acceptance, the liability of the acceptor is that of a principal debtor, and the liability of other parties is that of a surety. 22. Liability of prior party as principal debtor to each subsequent party: Unless otherwise agreed, among parties liable as sureties, each prior party shall be liable as principal debtor to each subsequent party.

23. Liability of surety: Notwithstanding anything contained in the prevailing law, a person who becomes a surety on an instrument shall not be entitled to claim that recovery may be made from his property only if it cannot be recovered from the property of the principal debtor; recovery may be made directly from the surety.

24. Release of endorser from liability: The holder shall not, without the consent of the endorser, impair the right of recourse of the endorser against his prior parties. If the right is so impaired, the endorser shall be released from liability to the holder. 25. Liability despite forgery: A person who accepts a bill of exchange knowing it to be forged or having reason to know it to be forged shall not be discharged from his liability on the ground that the bill of exchange is forged.

26. Negotiable instrument without consideration: A negotiable instrument made, accepted, endorsed, or transferred contrary to the prevailing law does not create an obligation to pay between the parties doing such act. If such negotiable instrument is transferred, with or without endorsement, to a holder, the holder so acquiring it may recover the amount thereof from the transferor or any prior party.

27. Right to duplicate: If a holder of a negotiable instrument which has been lost requests, the drawer or maker shall give another copy thereof upon taking necessary security and the expense of preparing the copy.

Chapter-3 Negotiation and Endorsement 28. Transfer: The making, acceptance, or endorsement of a negotiable instrument is not complete until delivery thereof.

29. Negotiation by delivery: A negotiable instrument payable to bearer may be negotiated by delivery. If the instrument is payable to a specified person or his order, it must be endorsed by the holder thereof.

30. Effect of endorsement: Upon endorsement and delivery of a negotiable instrument, the title is transferred. The holder may further endorse it or receive payment himself.

31. Alteration of endorsement: The holder of a bill of exchange endorsed in blank may convert the blank endorsement into a special endorsement.

32. Restriction on endorsement: The right of a holder to endorse a negotiable instrument may be restricted by prohibiting further negotiation or by specifying that it may only be endorsed as mentioned in the endorsement. Provided that such restriction shall not apply to a negotiable instrument payable to bearer.

33.

Holder deriving title from holder in due course: A holder who derives title to a negotiable instrument from a holder in due course shall have the same rights as the holder in due course.

34. Right to endorse or negotiate: Every party to a negotiable instrument may endorse or negotiate it, except where a restriction has been imposed under Section 32.

35. Endorsement without liability: An endorser may endorse a negotiable instrument by expressly excluding his own liability thereon.

36. Endorsement for part of amount: A negotiable instrument endorsed for part only of the amount payable cannot be negotiated.

37. Negotiation by legal representative: If the endorser of a negotiable instrument payable to order dies before delivering the instrument, his legal representative cannot negotiate it by mere delivery without endorsement.

38. Negotiable instrument obtained unlawfully: A person who obtains a negotiable instrument by means of an offence, fraud, or unlawful means, or a person who finds a lost negotiable instrument, shall not be entitled to claim the amount specified therein from the maker, acceptor, or holder thereof.

39. Overdue or dishonoured negotiable instrument: The rights of a holder who takes a dishonoured bill of exchange (by non-acceptance or refusal to pay) with knowledge, or takes a negotiable instrument after the date of maturity, shall not be greater than those of the person from whom he took it.

Chapter-4 Presentation 40. Presentment for acceptance: A bill of exchange payable after sight must be presented for acceptance to the drawee within business hours on a

business day. If no day or place for presentment is specified, the person entitled to demand acceptance must, within a reasonable time, make proper search for the drawee and present it to him within business hours on a business day. If not so presented, no other party shall be liable to the person failing to present. Provided that, if after proper search the drawee cannot be found, the bill of exchange shall be deemed to be dishonoured. 41. Time allowed to drawee: If the drawee demands time to consider whether to accept or not a bill of exchange presented for acceptance, the holder must allow a period of two days, excluding public holidays. 42.

Presentment of promissory note: A promissory note payable after a fixed period from sight must be presented to the maker for sight within a reasonable time, within business hours on a business day, by the person entitled to payment. If not so done, no other party shall be liable to the person failing to present. 43. Presentment for payment: A promissory note, a bill of exchange, and a cheque must be presented for payment within business hours to the maker, acceptor, and drawee respectively, by the holder or his agent. If not so presented, the other parties specified in the instrument shall not be liable to such holder. 44. Instrument payable at specified place: A negotiable instrument directed to be paid at a specified place must be presented for payment at that place. 45. Instrument without place of payment: If no place for presentment is specified, a promissory note must be presented for payment to the maker, and a bill of exchange to the acceptor or drawee, at his place of business or residence. 46. If place of business or residence uncertain: If the place of business or residence of the maker, acceptor, or drawee of a negotiable instrument not specifying a place of presentment is uncertain, the instrument must be presented for payment at the place where he is found. 47. Presentment of cheque when claim against drawer: (1) No person shall make a claim against the drawer unless the cheque is presented at the bank on which it is drawn. (2) If any loss is caused to any person due to non-presentment of a cheque within a reasonable time, such loss amount shall not be claimable against the drawer. 48. Delay not deemed in presentment: Delay in presentment for acceptance or payment shall be excused if it is caused by circumstances beyond the control of the holder and not due to his misconduct, negligence, or default. Provided that, after the cause of delay ceases, the instrument must be presented for acceptance or payment within a reasonable time. 49. Presentment within reasonable time: The holder of a bill of exchange payable on demand must present it for payment within a reasonable time. 50. Presentment to agent or legal representative: A promissory note, bill of exchange, or cheque may be presented for acceptance or payment to the agent of the maker, acceptor, or drawee respectively.

Provided that, if such maker, acceptor, or drawee is dead, the instrument must be presented to his legal representative. 51. When presentment for payment unnecessary: A bill of exchange shall be deemed to be dishonoured, and presentment for payment thereof shall be unnecessary, in the following circumstances:- (a) If the maker, acceptor, or drawee intentionally obstructs the presentment, or (b) If the instrument specifies that it must be presented at a specified place for payment, and the person liable to pay or his agent is not present at that place during business hours on a business day, or (c) If the person liable to pay closes his office during business hours on a business day, or (d) If, despite making diligent efforts to present a negotiable instrument not specifying a place for presentment, the relevant party cannot be found. 52. Compensation for negligence or default: If a bill of exchange accepted payable at a particular bank is duly presented for payment and is dishonoured due to the negligence or default of the bank, causing loss or damage to the holder, such bank shall compensate the holder under this Act. Chapter-5 Payment, Interest, and Discharge from Liability 53. Payment: Subject to Section 56, payment of a negotiable instrument shall be made to the holder. Provided that a bank shall not be bound to pay a cheque or draft drawn upon it if it is not presented for payment within six months from the date of drawing. 54. Interest: Notwithstanding anything contained in the prevailing law, if a rate of interest is specified in a negotiable instrument, it shall be paid

accordingly. Provided that, when calculating interest for compensation or damages, the highest interest rate charged by commercial banks on loans shall be applied. 55. Delivery of instrument on payment: The person paying may inspect the negotiable instrument before payment and may take it after payment. 56.

Circumstances for discharge from liability: Any party making, accepting, or endorsing a negotiable instrument shall be discharged from liability in the following circumstances:- (a) If any holder cancels the name of that party with intent to discharge him, such cancelled party is discharged from liability to the holder and to all subsequent parties deriving title from him, (b) If any holder gives notice to the acceptor, endorser, or drawer that he discharges him, all such parties are discharged from liability to the holder giving the notice and to all subsequent parties deriving title from him, (c) If the party liable pays the amount in due course to the bearer of a negotiable instrument payable to bearer, or to the holder of a negotiable instrument endorsed in blank, such party is discharged from liability to all parties relating to the instrument. 57. Discharge by giving further time: If any holder gives to the party liable on a bill of exchange more than two days (excluding public holidays) for acceptance, all prior parties who do not consent to such extension are discharged from liability to such holder. 58. Discharge of bank paying cheque payable to "Bearer" or "Order": A bank is discharged from liability in respect of a cheque payable to "bearer" if it makes payment in due course to the bearer, irrespective of any endorsement on the back. In the case of a cheque payable to "order", the bank is discharged upon payment in due course to the payee or to a person endorsed by him. 59. Discharge of bank paying draft: A bank which pays a draft drawn by one office of the same bank upon another office, payable on demand to order, is discharged from liability upon payment in due course to the payee or to a person endorsed by him. 60. Qualified acceptance: If the holder of a bill of exchange accepts a conditional acceptance, all prior parties, except the party consenting to such condition, are discharged from liability. 61. Alteration or erasure in negotiable instrument: Unless the alteration or erasure is made with the common intention of all material parties, if any material alteration or erasure is made in a negotiable instrument, all prior parties, except the party making the alteration or erasure and any party consenting thereto, are discharged from liability.

Explanation: "Material alteration or erasure" means an alteration or erasure which changes the meaning of the instrument, or alters the form of the instrument, or changes the liability of the relevant parties. 62. Payment of instrument where alteration not apparent: The person or bank making payment in due course of a negotiable instrument which has been materially altered but where the alteration is not apparent on a cursory inspection, or of a crossed cheque where the crossing is not apparent on a cursory inspection, shall be discharged from liability. 63. Discharge of all parties: When a negotiable instrument is paid or satisfied, and the period for satisfaction is completed, all parties relating to the instrument are discharged from liability after it comes into the possession of the acceptor. Chapter-6

Notice of Dishonour

64. Dishonour by non-acceptance: (1) A bill of exchange is dishonoured by non-acceptance if the drawee, who is required to accept it upon presentment for acceptance, fails to accept, or if, in a case of multiple drawees not being partners, any one of them fails to accept.

(2) A bill of exchange shall be deemed to be dishonoured if the drawee agrees to accept only on a condition, or if the drawee is incompetent to contract. 65. Dishonour by non-payment: A promissory note, bill of exchange, or cheque is dishonoured by non-payment if the maker, acceptor, or drawee, respectively, fails to pay the amount due. 66. Notice of dishonour: When a negotiable instrument is dishonoured by non-acceptance or non-payment, notice thereof must be given by the holder or by any party liable on the instrument to all parties to whom it is sought to be made liable. If any such party is not notified, that party

shall not be liable on the instrument. Provided that nothing in this section shall require notice to be given to the maker of a promissory note, the acceptor of a bill of exchange, or the drawee. 67. Mode of giving notice of dishonour: Notice of dishonour may be given orally or in writing to the person to whom it is to be given, or to his authorized agent, or to his legal representative if he is dead. If given in writing, it may be sent by registered post in any form. Such notice must clearly specify that the instrument has been dishonoured, and also specify the capacity in which the person notified is liable, and must be given within a reasonable time at his place of business or residence. If a notice duly sent by post does not reach the concerned person for any reason, it shall not be deemed that notice was not given. 68.

Time for agent to give notice of dishonour: If a negotiable instrument is presented through an agent for presentment, such agent shall have the same time to give notice of dishonour to the principal as the holder would have. 69. Death of person notified: If the person notified of dishonour is dead and the person giving notice is unaware of his death, such notice shall not be invalid. 70. Circumstances where notice of dishonour unnecessary: Notice of dishonour is not required in any of the following circumstances:- (a) If the party entitled to notice waives it by his conduct, (b) If the drawer has stopped payment, (c) If no loss is caused to the party by failure to give notice, (d) If the acceptor is himself the drawer, (e) If the instrument is a non-negotiable promissory note, (f) If the party entitled to notice cannot be found despite diligent search, or if the person required to give notice is unable to give it for any reason other than his own fault, (g) If the party entitled to notice, with knowledge of the dishonour, unconditionally undertakes to pay the amount of the instrument. 71. Noting of dishonour by Notary Public: If a negotiable instrument is dishonoured by non-acceptance or non-payment, the holder may, within a reasonable time, present it to a Notary Public and cause the dishonour to be noted by the Notary Public on the instrument or on a document attached thereto. Such noting shall specify the date and cause of dishonour, and if the instrument is not clearly dishonoured but the holder has reason to deem it dishonoured, that reason shall also be clearly specified. 72. Protest of dishonour: After noting under Section 71, the holder may cause the dishonour to be protested by a Notary Public. 73. Protest for better security: If, before the maturity of a bill of exchange, the acceptor becomes insolvent, the holder may, within a reasonable time, present it to a Notary Public and request him to demand better security. If better security is not given, the holder shall cause the same to be protested by a Notary Public within a reasonable time. 74.

Contents of protest: A protest of dishonour or of refusal to give better security shall contain the following particulars:- (a) The negotiable instrument or a copy thereof, and all matters written or printed therein, (b) The names of the parties for and against whom the protest is made, (c) A statement by the Notary Public that he demanded acceptance, payment, or better security from such person, and the answer given by that person, or if no answer was given, a statement to that effect, or if the person could not be found after search, a statement to that effect, (d) The place and time of dishonour if the instrument was dishonoured, and the place and time of refusal to give better security. 75. Notice of protest: If a negotiable instrument is required by any prevailing law to be protested, the notice of dishonour sent instead must be a notice of protest certified by a Notary Public. Such certified notice may also be sent by the Notary Public who protests it. 76. Protest for non-payment after non-acceptance: If all bills of exchange drawn payable at a place other than the place stated as the drawee's residence are dishonoured by non-acceptance, they may be protested for non-payment at the place of payment without being again presented to the drawee. 77. Foreign bills to be protested: If a foreign bill of exchange is required by the law of the country of issue to be protested on dishonour, such foreign bill shall also be protested by a Notary Public. Chapter-7 Reasonable Time 78. Determination of reasonable time: In determining what is a reasonable time for presentment for acceptance or payment, giving notice of dishonour, and noting of dishonour, regard shall be had to the nature of the

instrument and the usual course of dealing with respect to similar instruments. Public holidays shall be excluded in calculating such time. 79. Determination of reasonable time for notice of dishonour: If the holder and the party to whom notice of dishonour is to be given carry on business or reside in different places, such notice shall be deemed to have been given within a reasonable time if it is sent by registered post or other means on the day next after the day of dishonour. If they carry on business or reside in the same place, such notice shall be deemed to have been given within a reasonable time if it is sent so as to reach the party on the day next after the day of dishonour. 80.

Reasonable time for prior party to give notice: A prior party who wishes to render other prior parties liable to him shall give notice within the same time as he would have had if he had been the holder. Chapter-8 Crossed Cheques 81. General crossing of cheque: A cheque is deemed to be crossed generally if the front bears two parallel lines with the words "and company" or any abbreviation thereof, or if it bears only two parallel lines, whether or not the words "not negotiable" are written therein. 82. Special crossing of cheque: A cheque is deemed to be crossed specially if the front bears the name of a bank, whether or not the words "not negotiable" are written therein. 83. Crossing after issue: (1) The holder of an uncrossed cheque may make it a generally or specially crossed cheque. (2) The holder of a generally crossed cheque may make it a specially crossed cheque. (3) The holder may add the words "not negotiable" to a generally or specially crossed cheque. (4) A specially crossed cheque crossed to a particular bank may be re-crossed specially by that bank to another bank or its agent for collection. (5) The drawer of a crossed cheque may cancel the crossing thereof. 84. Payment of crossed cheques: (1) A generally crossed cheque shall not be paid to any person other than a bank. (2) A specially crossed cheque shall not be paid to any person other than the bank to whose name it is crossed or its agent. 85. Payment of cheque bearing "Account Payee": A crossed cheque bearing the words "account payee" shall be paid by the bank only by crediting the amount to the account of the person in whose name the cheque is drawn. 86. Payment of cheque with more than one special crossing: If a cheque is specially crossed to more than one bank, payment thereof shall not be made, except where it is specially crossed to an agent for collection. 87. Payment in due course of crossed cheque: If a bank pays a crossed cheque drawn upon it in due course, the rights and liabilities of the paying bank and the drawer shall be the same as if payment had been made to the true owner of the cheque. 88.

Payment of crossed cheque not in due course: If a bank pays a crossed cheque without complying with the provisions of Sections 84 and 85, the paying bank shall be liable for any loss or damage caused to the true owner of the cheque. 89. Cheque bearing "Not Negotiable": A person acquiring a generally or specially crossed cheque bearing the words "not negotiable" shall not have and shall not be capable of giving a better title to the cheque than that which the person from whom he took it had. 90. Bank collecting payment of cheque not liable: If a bank, without negligence and in good faith, receives payment of a crossed cheque for a customer, the bank shall not, by reason only of having received payment, be liable to the true owner of the cheque, even if it is subsequently proved that the customer had no title to the cheque. 91. Provisions of this Chapter to apply to drafts: The provisions of this Chapter shall apply to drafts as they apply to cheques. Chapter-9 Miscellaneous 92. Acceptance for honour: If a bill of exchange has been noted or protested for non-acceptance or for better security, any person not being a party already liable thereon may, with the consent of the holder, accept it for the honour of any party to the bill. 93. Mode of acceptance for honour: A person desiring to accept for honour shall, by his signature, write on the bill that he accepts it for the honour of the drawer or a specified endorser, and sign it. If no such name is specified, he shall be deemed to have accepted for the honour of the drawer. 94. Liability of acceptor for honour: (1) If the drawee does not pay the bill, the acceptor for honour shall be liable to all subsequent parties to the party for whose honour he accepted. The acceptor for honour shall be entitled to recover any expenses incurred or any loss caused to

him in that connection from the party for whose honour he accepted or from prior parties.

Provided that the acceptor for honour shall not be liable on the bill if it is not presented to him. (2) The acceptor for honour shall be liable only if, after maturity of the bill, it is presented for payment to the drawee and the drawee refuses to pay, and such refusal is protested by a Notary Public. 95. Payment for honour: (1) If a bill of exchange has been protested for non-payment, any person may pay it for the honour of any person liable to pay. Provided that, before such payment, he or his agent shall cause the fact that he pays for the honour of a specified person to be recorded in the register of the Notary Public. (2) Upon payment under sub-section (1), the paying party shall acquire all the rights of the holder, and he may recover the amount paid, with interest and all expenses incurred in that connection, from the party for whose honour he paid. 96. Dishonour not deemed until drawee in case of need dishonours: If the name of a drawee in case of need is specified in the bill of exchange or endorsement, the bill shall not be deemed to be dishonoured until such drawee in case of need dishonours it. 97. Acceptance and payment without protest: The drawee in case of need may accept and pay the bill of exchange even if it has not been previously protested by a Notary Public. 98. Drawing bills of exchange in sets: A

Negotiable Instruments Act, 2034 (1977)

Royal Seal and Publication Date

2034.09.18

Amending Acts

1. Some Nepal Acts Amendment Act relating to Finance, 2039 (1982)

2039.07.03

Certification and Publication Date

2. Republic Strengthening and Some Nepal Laws Amendment Act, 2066 (2009)?

2066.10.07

3. Some Nepal Acts Amendment Act to Make Compatible with the Constitution of Nepal, 2075 (2018)

2075.11.19

4. Banking Offence and Punishment (Second Amendment) Act, 2082 (2025)

2082.01.24

Act Number 26 of the year 2034 (1977)

?

An Act made to provide for Negotiable Instruments

Preamble: Whereas, it is expedient to define negotiable instruments and to make other provisions relating thereto for the systematization of banking transactions,

Now, therefore, His Majesty King Birendra Bir Bikram Shah Dev, by and with the advice and consent of the Rashtriya Panchayat, has enacted this Act. Chapter-1

Preliminary

1. Short Title, Extent and Commencement: (1) This Act may be called the "Negotiable Instruments Act, 2034 (1977)".

(2) It extends to the whole of Nepal ?

(3) It shall come into force on such date as the Government of Nepal may, by notification in the Nepal Gazette, appoint. ?

2. Definitions: In this Act, unless the subject or context otherwise requires,-

(a) "Bank" means a bank established pursuant to the prevailing law.

(b) "Banker" means an institution carrying on banking business, and includes a post office doing the work of a savings bank.

(c) "Security" means property mortgaged or to be mortgaged as collateral while taking or giving credit pursuant to the prevailing law, or a document relating thereto.

(d) "Negotiation" means the transfer of a negotiable instrument to any person entitled thereto in such a manner as to constitute him the holder thereof.

(e) "Negotiable Instrument" means a promissory note and a bill of exchange.

(f) "Promissory Note" means an instrument in writing (not being a government or bank note) containing an unconditional undertaking, signed by the maker, to pay a certain sum of money only to, or to the order of, a certain person, or to the bearer of the instrument.

Provided that this term shall not include an instrument made pursuant to Chapter-15 of Part 4 of the Muluki Civil (Code) Act, 2074 (2017).

(g) "Bill of Exchange" means an instrument in writing containing an unconditional order, signed by the maker, directing a certain person to pay a certain sum of money only to, or to the order of, a certain person, or to the bearer of the instrument, on a certain date, or after a certain period, or on demand.

(h) "Cheque" means a bill of exchange drawn on a banker payable on demand.

(i) "Draft" means a bill of exchange drawn by one office of a bank upon another office of the same bank, payable on demand to a certain person or his order.

(j) "Payee" means the person named in the negotiable instrument to whom or to whose order the payment is to be made.

(k) "Holder" means a person entitled in his own name to the possession of a negotiable instrument and to receive the amount due thereunder.

(l) "Drawer" means the person who writes or draws a bill of exchange.

(m) "Drawee" means the person directed to pay a bill of exchange.

(n) "Alternative Drawee" means a person mentioned or endorsed in the bill of exchange as one to whom recourse may be had if the drawee does not accept or pay the bill.

(o) "Holder in Due Course" means for a negotiable instrument payable to bearer, any person who has become entitled to the instrument according to law; for a negotiable instrument payable to order, the payee or any person whom he has endorsed.

Provided that he must have acquired the right or become the endorsee before the maturity of the instrument, without having sufficient cause to believe that the right of the person from whom he acquired it was defective.

(p) "Payment in Due Course" means payment of the amount due under a negotiable instrument to the person in possession thereof, in good faith and without negligence.

(q) "Endorsement" means signing on the face or back of a negotiable instrument, or on a separate document attached to it, for the purpose of negotiating it.

(r) "Endorsement in Blank" means an endorsement where the endorser merely signs his name.

(s) "Special Endorsement" means an endorsement specifying the person to whom or to whose order payment is to be made.

(t) "Bill of Exchange payable on Demand" means a bill of exchange payable on demand, on sight, or on presentation.

(u) "Maturity Date" means the date mentioned in the negotiable instrument as the date on which payment is due.

(v) "Public Holiday" means a day declared by the Government of Nepal as a public holiday, and includes any day on which banking business is not transacted.

(w) "Notary Public" means a person appointed or designated pursuant to section 106.

(x) "Prescribed" or "as prescribed" means prescribed under this Act or rules made under this Act. Chapter-2

Negotiable Instruments, Parties Thereto, and Their Rights and Liabilities

3. Ambiguous Instruments: Where a document is in such a form that it is difficult to ascertain whether it is a promissory note or a bill of exchange, the holder may treat it as either a promissory note or a bill of exchange at his option. 4. Right of Holder: A holder may transfer a negotiable instrument. 5. Instrument without Maturity Date: A negotiable instrument in which no maturity date is expressed shall be payable on demand. 6. Discrepancy between Figures and Words: Where there is a discrepancy between the sum expressed in figures and the sum expressed in words on a negotiable instrument, the sum expressed in words shall be recognized. 7. Days of Grace: Payment of a negotiable instrument which is not expressed to be payable on demand, on sight, or on presentation, shall be due on the fourth day after the maturity date. 8. Payment after Certain Period: Payment of a negotiable instrument payable on a fixed day, or after a stated period from presentation, or after the occurrence of a specified event, or after a stated period from the occurrence of such event, shall be made as specified in the instrument. 9.

Calculation of Maturity Date: In calculating the maturity date of a negotiable instrument payable after a period, the day of the date of the instrument or the day of presentment for acceptance shall be excluded. 10. When Maturity Date falls on a Public Holiday: When the maturity date of a negotiable instrument falls on a public holiday, the instrument shall be deemed to be due on the next succeeding day. 11. Capacity of Party: Every person capable of contracting under the prevailing law may draw, make, accept, endorse, negotiate, and do all other acts with respect to a negotiable instrument, and all parties shall be liable therefor. Provided that if such act is done by a minor, all parties except the minor shall be liable. 12. Agent: The principal who authorizes an agent to do an act shall be liable for the act done by the agent. 13. Liability of Agent: An agent who signs a negotiable instrument without indicating that he signs as an agent, or without specifying that he is not personally liable, shall be personally liable on the instrument. 14. Liability of Legal Representative: A person who signs a negotiable instrument as the legal representative of a deceased person shall be fully personally liable on the instrument unless he specifies that he is liable only to the extent of the property he has received. 15. Liability of Drawer: Where a bill of exchange is dishonoured by non-acceptance or non-payment by the acceptor or drawee, the drawer shall, upon due notice thereof being given to him, be liable to compensate the holder. 16. Liability of Bank Paying Cheque: A bank shall pay a cheque presented to it if it is in due course and the drawer has sufficient deposits. If the bank fails to pay such a cheque, resulting in any loss or damage to the drawer or the holder in due course, the bank shall also pay compensation therefor according to this Act. 17. Liability of Maker of Promissory Note or Acceptor of Bill of Exchange: The maker of a promissory note or the acceptor of a bill of exchange shall pay the negotiable instrument when it is duly presented for payment after the maturity date.

If payment of such a negotiable instrument is not made, resulting in any loss or damage to the party entitled to payment, the maker or acceptor shall also pay compensation therefor according to this Act. 18. Person Capable of Accepting Bill of Exchange: (1) Only the drawee or an alternative drawee can accept a bill of

exchange, making himself liable. (2) Where a bill of exchange has more than one drawee, any one of them may accept it for himself only. Provided that if such drawees are partners or have given authority, one may accept the bill for the other. 19. Liability of Endorser: Every endorser who endorses and transfers a negotiable instrument, without specifying that his liability is limited or non-existent, shall be liable to every subsequent holder, unless otherwise agreed. 20. Liability of Prior Parties to Holder in Due Course: Until the instrument is paid in due course, every prior party is liable to the holder in due course. 21. Principal Debtor Status: Unless otherwise agreed, before acceptance of a negotiable instrument, the liability of the maker or drawer shall be that of a principal debtor, and after acceptance, the liability of the acceptor shall be that of a principal debtor, and the liability of other parties shall be that of guarantors. 22. Prior Party as Principal Debtor for Subsequent Party: Unless otherwise agreed, amongst parties liable as guarantors, each prior party shall be liable as a principal debtor for each subsequent party. 23. Liability of Guarantor: Notwithstanding anything contained in the prevailing law, a person who becomes a guarantor on an instrument shall not be entitled to claim that recovery can be made from his property only after failure of recovery from the principal debtor's property; recovery may be made directly from the guarantor. 24. Release of Endorser from Liability: The holder shall not, without the consent of the endorser, impair the endorser's right of recourse against prior parties. If the right is so impaired, the endorser shall be released from liability to the holder. 25. Liability for Forgery: A person who accepts a bill of exchange knowing it to be forged, or under circumstances where he could have known it to be forged, shall not be entitled to be released from his liability on the ground that the bill is forged. 26.

Instrument without Consideration: A negotiable instrument made, accepted, endorsed, or transferred in contravention of the prevailing law shall not create an obligation to pay between the parties doing such act. If such an instrument is transferred, with or without endorsement, to a holder, the holder so acquiring it may recover the amount of such instrument from the transferor or any other prior party. 27. Duty to Give Another Copy: Upon request by a holder who has lost a negotiable instrument, the drawer or the maker of a promissory note shall give another copy upon receiving necessary security and expenses incurred in preparing the copy. Chapter-3 Negotiation and Endorsement 28. Transfer: The act of making, accepting, or endorsing a negotiable instrument is deemed complete only after its transfer. 29. Negotiation by Transfer: A negotiable instrument payable to bearer may be negotiated by transfer. A negotiable instrument payable to a specified person or his order must be endorsed by the holder. 30. Effect of Endorsement: After a negotiable instrument is endorsed and transferred, the right is transferred. The holder may further endorse it to another person or may receive payment himself. 31. Conversion of Endorsement: The holder of a negotiable instrument bearing a blank endorsement may convert the blank endorsement into a special endorsement. 32. Restriction on Endorsement: The right of the holder to endorse may be restricted by endorsing the instrument so that it cannot be re-endorsed, or may be endorsed only as specified. Provided that such restriction shall not apply to a negotiable instrument payable to bearer. 33. Holder acquiring Right from Holder in Due Course: The right of a holder who acquires a right in a negotiable instrument from a holder in due course shall be the same as that of the holder in due course. 34. Right to Endorse or Negotiate: Every party to a negotiable instrument may endorse or negotiate it, except where a restriction has been made pursuant to section 32. 35. Endorsement without Liability: An endorser may endorse a negotiable instrument by clearly stating that he incurs no liability. 36. Endorsement for Part Amount: A negotiable instrument endorsed for payment of only a part of the amount shall not be negotiable. 37. Negotiation by Legal Representative: If a person who has endorsed a negotiable instrument payable to order dies before transferring the instrument, his legal representative cannot negotiate it by mere transfer without endorsement. 38.

Instrument obtained Unlawfully: A person who obtains a negotiable instrument by committing an offence,

fraud, or unlawfully, or a person who finds a lost negotiable instrument, shall not be entitled to claim the amount mentioned in such instrument against the maker, acceptor, or holder. 39. Instrument Overdue or Dishonoured: The right of a holder who takes a negotiable instrument which has been dishonoured by non-acceptance or refusal to pay, knowingly, or takes an overdue negotiable instrument, shall not be greater than the right of the person who transferred it. Chapter-4 Presentment 40. Presentment for Acceptance: A bill of exchange payable after presentment must be presented to the drawee for acceptance during business hours on a business day. If the day and place for presentment are not specified, the person entitled to demand acceptance must, within a reasonable time, make diligent search for the drawee and present it to him during business hours on a business day. If not so presented, no other party shall be liable to the person so failing to present. Provided that if the drawee cannot be found after diligent search, the bill shall be deemed to be dishonoured. 41. Drawee's Time for Deliberation: If a drawee requests time to consider whether to accept a bill of exchange presented for acceptance, the holder must give him a grace period of two days, excluding public holidays. 42. Presentment of Promissory Note: A promissory note payable after a stated period from sight must be presented for sight by the person entitled to payment to the maker, within a reasonable time, during business hours on a business day. If not so presented, no other party shall be liable to the person so failing to present. 43. Presentment for Payment: A promissory note, bill of exchange, and cheque must be presented for payment during business hours to the maker, acceptor, and drawee respectively, by the holder or his order. If not so presented, the other parties mentioned in the instrument shall not be liable to such holder. 44. Instrument Payable at Specified Place: A negotiable instrument expressed to be payable at a specified place must be presented for payment at that place. 45. Instrument without Payment Place Specified: A promissory note which does not specify a place for presentment for payment must be presented for payment to the maker, and a bill of exchange to the acceptor or drawee, at his place of business or residence. 46.

When Place of Residence or Business is Uncertain: If the place of residence or business of the maker, acceptor, or drawee of a negotiable instrument which does not specify a place for presentment for payment is uncertain, the instrument must be presented for payment or acceptance at the place where he is found. 47. Necessity of Presenting Cheque to Claim against Drawer: (1) No person shall be entitled to claim against the drawer of a cheque without presenting it to the bank on which it is drawn. (2) If any loss is caused to anyone due to failure to present the cheque within a reasonable time, the amount of such loss shall not be claimable from the drawer. 48. Delay in Presentment Excused: Delay in presentment for acceptance or payment shall not be deemed delay caused by circumstances beyond the holder's control, unless the delay arises from his own bad faith, negligence, or fault. Provided that after the circumstance ceases, the negotiable instrument must be presented for acceptance or payment within a reasonable time. 49. Presentment within Reasonable Time: The holder of a negotiable instrument payable on demand must present it for payment within a reasonable time. 50. Presentment to Agent or Legal Representative: A promissory note, bill of exchange, and cheque may be presented for acceptance or payment to the agent of the maker, acceptor, and drawee respectively. Provided that if such maker, acceptor, or drawee has died, the instrument must be presented to his legal representative. 51. Cases Where Presentment for Payment is Unnecessary: In the following cases, a negotiable instrument shall be deemed to be dishonoured, and presentment for payment thereof shall be unnecessary:- (a) If the maker, acceptor, or drawee intentionally obstructs the presentment of the negotiable instrument; or (b) If, where presentment at a specified place for payment is required, the person liable to pay or his agent is not present at the specified place during business hours on a business day; or (c) If the person liable to pay keeps his office closed during business hours on a business day; or (d) Where no specified place is required for presentment, the relevant party cannot be found despite diligent effort to present the

negotiable instrument. 52.

Compensation for Negligence or Fault: If a bill of exchange accepted as payable at a particular bank is duly presented for payment and is dishonoured due to the banker's negligence or fault, causing loss or damage to the holder, such banker must pay compensation to the holder according to this Act. Chapter-5 Payment, Interest and Discharge from Liability 53. Payment: Subject to section 56, payment of a negotiable instrument shall be made to the holder. Provided that a bank shall not be obliged to pay a cheque or draft drawn on it if it is not presented for payment within six months from the date of drawing. 54. Interest: Notwithstanding anything contained in the prevailing law, where a rate of interest is specified in a negotiable instrument, it shall be calculated accordingly. Provided that when computing interest for compensation or damages, it shall be calculated at the maximum interest rate charged by commercial banks on loans. 55. Delivery of Instrument on Payment: The person paying may inspect the negotiable instrument before payment and, after payment, may demand delivery of the instrument. 56. Circumstances for Discharge from Liability: The maker, acceptor, or endorser of a negotiable instrument shall be discharged from liability in the following circumstances:- (a) If any holder cancels their name with the intention of discharging them from liability, such parties whose name is cancelled are discharged from liability to the holder or any person acquiring title from him or the drawer; (b) If any holder gives notice discharging the acceptor, endorser, or drawer from liability, all acceptors and endorsers are discharged from liability to the holder giving such notice or parties deriving title from him; (c) If the maker, acceptor, or endorser of a negotiable instrument payable to bearer or endorsed in blank makes payment in due course of the amount due, he is discharged from liability to all parties related to such negotiable instrument. 57. Discharge by Giving Additional Time to Acceptor: If any holder gives the acceptor of a bill of exchange more than two days (excluding public holidays) to accept, prior parties who do not consent to this are discharged from liability to such holder. 58. Discharge of Drawee of Cheque: In the case of a cheque payable to "bearer", the drawee is discharged from his liability after making payment in due course to the bearer, whatever the endorsement on the back of the cheque may be. In the case of a cheque payable to "order", the drawee is discharged after making payment in due course to the payee or the person endorsed by him. 59.

Discharge from Liability for Paying Draft: A bank paying a draft drawn by one office of the same bank on another office payable on demand to order, after making payment in due course to the payee or the person endorsed by him, is discharged from liability. 60. Qualified Acceptance: If the holder of a bill of exchange accepts a qualified acceptance, all prior parties except the party consenting to such qualification are discharged from liability. 61. Alteration or Cancellation of Instrument: Unless an alteration or cancellation is made on a negotiable instrument with the mutual consent of the principal parties, all prior parties, except the party making or consenting to the alteration or cancellation of a material part of the instrument, are discharged from liability. Explanation: "Alteration or cancellation of a material part" means an act which alters the meaning of the negotiable instrument, changes its form, or affects the liability of the relevant parties. 62. Payment of Altered Instrument not Apparent: A person or bank making payment in due course of a negotiable instrument which has been materially altered, but where the alteration is not apparent upon reasonable inspection, or of a crossed cheque where the crossing is not apparent upon reasonable inspection, shall be discharged from liability. 63. Discharge of all Parties: When a bill of exchange is paid or satisfied, and after the period for payment or satisfaction is completed, and it comes into the hands of the acceptor upon payment or satisfaction in due course, all other parties related to that bill are discharged from liability. Chapter-6 Notice of Dishonour 64. Dishonour by Non-Acceptance: (1) A bill of exchange presented for acceptance is deemed to be dishonoured by non-acceptance if the drawee required to accept does not accept, or if, where there are several drawees not being partners, any one of them does not accept. (2) A bill

of exchange is deemed to be dishonoured if the drawee agrees to accept only on a condition or is incompetent to contract. 65. Dishonour by Non-Payment: A promissory note, bill of exchange, or cheque is deemed to be dishonoured by non-payment if the maker, acceptor, or drawee fails to pay the amount due. 66. Notice of Dishonour: When a negotiable instrument is dishonoured by non-acceptance or non-payment, notice thereof must be given by the holder or any party liable thereon to all parties related to the instrument; and if any party is not notified of such fact, such party shall not be liable on the instrument.

Provided that nothing in this section shall require notice of dishonour to be given to the maker of a promissory note, the acceptor of a bill of exchange, or the drawee. 67. Mode of Giving Notice of Dishonour: Notice of dishonour may be given orally or in writing to the person to whom it is to be given, or to his authorized agent, or to his legal representative if he is dead. When given in writing, it may be sent by registered post in any form. Such notice must clearly specify, in addition to the fact that the instrument has been dishonoured, in what capacity the notified person is liable, and must be given within a reasonable time at his place of business or residence. A notice duly sent by post shall not be deemed not to have been given if, for some reason, it does not reach the relevant person. 68. Time for Agent to Give Notice of Dishonour: If a negotiable instrument is presented through an agent for presentment, such agent shall have the same time to give notice of dishonour to the relevant principal as the holder would have. 69. Death of Person Notified: If the person notified of the dishonour of a negotiable instrument is dead, and the person giving notice is unaware of this fact, the notice given by him shall not be invalid. 70. When Notice of Dishonour is Unnecessary: Notice of dishonour shall be unnecessary in any of the following circumstances:-

- (a) If the party entitled to notice has, by his conduct, waived notice;
 - (b) If the drawer has countermanded payment;
 - (c) If the party would suffer no loss from the failure to give notice;
 - (d) If the acceptor is the drawer himself;
 - (e) If the promissory note is not transferable;
 - (f) If the party entitled to notice cannot be found despite diligent search, or if the person required to give notice is unable to give it for any reason other than his own fault;
 - (g) If the party entitled to notice, knowing of the dishonour, unconditionally promises to pay the amount of the negotiable instrument.
71. Noting by Notary Public: If a negotiable instrument is dishonoured by non-payment or non-acceptance, the holder may, within a reasonable time, apply to a Notary Public to cause the fact of dishonour to be noted on the instrument or on a paper attached thereto. When causing it to be noted, the date and reason for the dishonour must be mentioned, and if the negotiable instrument is not clearly dishonoured, but the holder considers it dishonoured, the reason must also be clearly stated. 72.

Protest for Dishonour: After causing it to be noted pursuant to section 71, the holder may have the fact of dishonour certified (protested) by a Notary Public. 73. Protest for Better Security: Before the maturity of a bill of exchange, if the acceptor becomes insolvent or bankrupt, the holder may, within a reasonable time, apply to a Notary Public and cause a demand for better security to be made. If better security is not given upon such demand, the holder must have this fact certified by a Notary Public within a reasonable time. 74. Contents of Protest: When causing the fact of dishonour or refusal to give better security to be certified, the following details must be included:- (a) The negotiable instrument or a copy thereof, and everything written or printed thereon; (b) The name of the party and the opposite party; (c) A statement from the Notary Public regarding the demand for acceptance, payment, or better security made to such person, and if such person gave a reply, the details thereof, or if no reply was given, a statement to that effect, or if the person could not be found after search, a statement to that effect; (d) If the negotiable instrument was dishonoured, the place and time of dishonour, and the place and time of refusal to give better security. 75. Certified Notice: Where,

under any prevailing law, the fact of dishonour of a negotiable instrument must be certified, a notice certified by a Notary Public must be sent in lieu of a notice of dishonour. Such notice may also be sent by the Notary Public who certifies it. 76. Protest for Non-Payment after Dishonour by Non-Acceptance: For all bills of exchange drawn payable at a place other than the place mentioned as the drawee's residence, if the drawee dishonours them by non-acceptance, they may be protested for non-payment at the place where payment is due, without being re-presented to the drawee. 77. Protest of Foreign Bills: If, according to the law of the country where a foreign bill of exchange is issued, the fact of dishonour must be certified, such foreign bill of exchange must also be protested by a Notary Public. Chapter-7 Reasonable Time 78.

Determination of Reasonable Time: In determining what is a reasonable time for presentment for acceptance or payment of a negotiable instrument, for giving notice of dishonour, and for noting, regard shall be had to the nature of the instrument and the usual course of dealing with respect to similar instruments. In calculating time, a public holiday shall be excluded. 79. Determination of Reasonable Time for Notice of Dishonour: If the holder and the party entitled to notice of dishonour carry on business or reside in different places, such notice shall be deemed to have been given within a reasonable time if it is sent by registered post or other means to those persons on the day next after the day of dishonour. If both parties carry on business or reside in the same place, such notice shall be deemed to have been given within a reasonable time if it is sent so as to reach that place on the day next after the day of dishonour. 80. Reasonable Time for Notice to Render Prior Party Liable: If a party receiving notice of dishonour wishes to render a prior party liable to him, a notice sent by him within the same time within which he would have had to send it had he been the holder, after receiving such notice, shall be deemed to have been sent within a reasonable time. Chapter-8 Crossed Cheques 81. General Crossing: A cheque is deemed to be crossed generally if its face bears two parallel transverse lines with the words "and company" or any abbreviation thereof written between them, or bears two parallel transverse lines alone, whether or not the words "not negotiable" are written. 82. Special Crossing: A cheque is deemed to be crossed specially if its face bears the name of a banker, whether or not the words "not negotiable" are written. 83. Crossing after Issue: (1) The holder of an uncrossed cheque may cross it generally or specially. (2) The holder of a cheque crossed generally may cross it specially. (3) The holder may add the words "not negotiable" to a cheque crossed generally or specially. (4) A banker to whom a cheque is crossed specially may re-cross it specially in the name of another banker or his agent when sending it for collection. (5) The drawer of a crossed cheque may cancel the crossing. 84.

Payment of Crossed Cheques: (1) Payment of a crossed cheque generally shall not be made to any person other than a banker. (2) Payment of a crossed cheque specially shall not be made to any person other than the banker in whose name it is crossed, or his agent. 85. Payment of Cheque marked "Account Payee": Payment of a crossed cheque bearing the words "account payee" shall be made by the banker only by crediting the account of the person in whose name the cheque is drawn. 86. Payment of Cheque with Multiple Special Crossings: Payment shall not be made on a cheque which bears more than one special crossing, unless the crossings are in favour of more than one banker, where it is specially crossed in the name of an agent for collection. 87. Payment in Due Course of Crossed Cheque: If a banker pays a crossed cheque drawn on him in due course, the rights and liabilities of the paying banker and the drawer shall be the same as they would be if payment had been made to the true owner of the cheque. 88. Payment of Crossed Cheque not in Due Course: If a banker pays a crossed cheque without complying with the formalities of sections 84 and 85, the paying banker shall be liable for any loss or damage caused to the true owner of the cheque by reason of such payment. 89. Cheque marked "Not Negotiable": A person taking a cheque crossed generally or specially bearing the words "not negotiable" shall not have, and shall not be capable of giving, a better title to the cheque than that which the person from whom he took it had. 90. Bank Not Liable for

Receiving Payment: If a bank, in good faith and without negligence, receives payment of a crossed cheque for a customer, the bank shall not be liable to the true owner of the cheque merely by reason of having received payment thereof, even if it is subsequently proved that the customer had no title to the cheque. 91. Provisions of this Chapter to Apply to Drafts: The provisions of this Chapter shall apply to drafts in the same manner as they apply to cheques. Chapter-9 Miscellaneous 92. Acceptance for Honour: When a bill of exchange has been noted or protested for non-acceptance or for better security, any person, not being a party liable on the bill, may, with the consent of the holder, accept it for the honour of any party to the bill. 93.

Manner of Acceptance for Honour: A person desiring to accept a bill for honour must, by his signature, write on the bill that he accepts for the honour of the drawer or a specified endorser, and sign it. If no such name is mentioned, it is deemed to be accepted for the honour of the drawer. 94. Liability of Acceptor for Honour: (1) If the drawee fails to pay the bill, the acceptor for honour shall be liable to all parties subsequent to the party for whose honour he accepted. The acceptor for honour shall be entitled to recover any expenses incurred or loss suffered by him from the party for whose honour he accepted or prior parties. Provided that the acceptor for honour shall not be liable on the bill if the instrument is not presented to him. (2) The acceptor for honour shall be liable only if, upon presentation to the drawee for payment after maturity, the drawee refuses to pay, and this fact is certified by a Notary Public. 95. Payment for Honour: (1) When a bill of exchange has been protested for non-payment, any person may pay it for the honour of any person liable thereon. Provided that before making such payment, he or his agent must cause a declaration of payment for the honour of a specified person to be recorded in the Notary Public's register. (2) Upon payment under sub-section (1), the paying party acquires all the rights of the holder and may recover the amount paid, with interest and all expenses incurred, from the person for whose honour payment was made. 96. Dishonour Deemed not Occured until Alternative Drawee Dishonours: Where the name of an alternative drawee is mentioned in a bill of exchange or its endorsement, the bill shall not be deemed to be dishonoured until the alternative drawee has dishonoured it. 97. Acceptance and Payment Valid without Prior Protest: An alternative drawee may accept and pay the bill of exchange even if it has not been previously protested by a Notary Public. 98. Bills in Sets: A single bill of exchange may be drawn in several parts. Each part shall be numbered and contain a condition that it is payable only so long as the other part remains unpaid. All parts together constitute one set and the whole set is considered one bill of exchange. Once acceptance or payment is made